

Week 9 Recitation

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ECON2001.01 (Prin. Micro.)

Mar 7, 2025

Chap 8

Now we look at the interactions between two societies! – Trade

Story: Leela and Fry produce sandwiches (good1) and smoothies (good2).

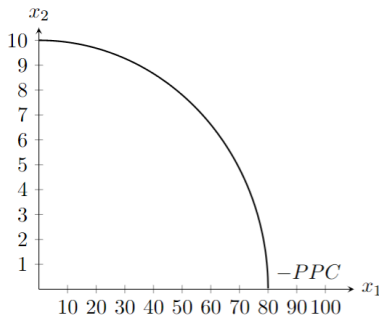
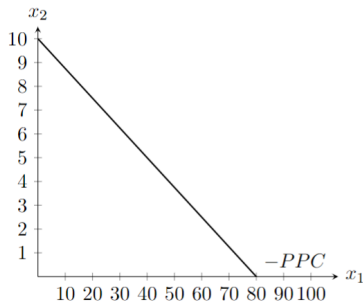
- Two goods, Two countries (agents)
- Constant opportunity cost (=PPC is a straight line)
 - What if not constant – increasing?
- Technology and resources are fixed, and resources are used efficiently

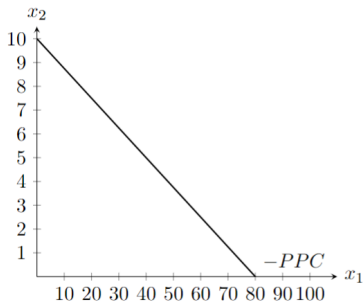
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Production Possibilities Curve

The Production Possibilities Curve (PPC)

- The set of production combinations where available resources and technologies are used efficiently
- Shows the relationship between the **maximum production of one good for a given level of production of another good**





- Point A: Below the PPC - attainable but **inefficient**
- Point B and D: on the PPC - attainable and **efficient**
- Point C: above the PPC - **unattainable**

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Production Possibilities Curve

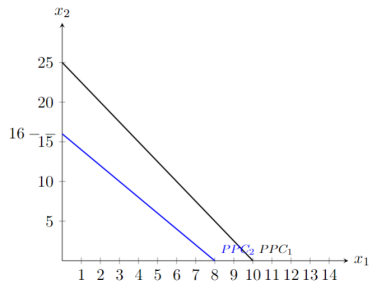
The slope of PPC

- The production at an efficient level (on the PPC).
There is a trade-off: If we want to produce one good more, we need to reduce the other good's production amount.
- $|\text{slope of PPC}| = \left| \frac{\Delta \text{Vertical}}{\Delta \text{Horizontal}} \right|$
 - **opportunity cost** of producing one more unit of *horizontal* axis good in terms of *vertical* axis good.
 - “How much should I give up the vertical axis good to produce one more unit of horizontal axis good?”
- From the previous example, the slope is _____.
 - To produce one more unit of good 1, the production of good 2 should be reduced by _____.
- What about the opportunity cost of producing good 2 in terms of good 1?

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Comparative Advantage & Specialization

Now, let's imagine 2 people trade!



	Sandwiches	Smoothies
Leela	10	25
Fry	8	16

- Slopes and Opportunity Costs?

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Comparative Advantage & Specialization

Absolute Advantage

- The ability of an economic agent to produce more output than another agent with the same resources

Comparative Advantage

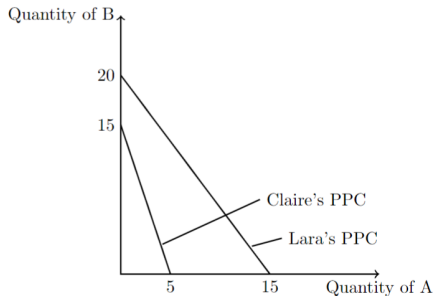
- The ability of an economic agent to produce a certain good at a **lower opportunity cost** than other producers with the same resources

Specialization and Terms of Trade

- **Specialization:** An agent with **the lowest opportunity cost** should produce
- **Terms of Trade:** The “price” of one good in terms of the other, or the negotiated exchange rate between goods
- If the terms of trade (price) are between the lowest opportunity cost and the highest opportunity cost, both agents will benefit from the trade.

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Example



	Good A	Good B
Lara	15	20
Claire	5	15

- (a) Refer to the scenario above. Who has an absolute advantage in the production of good A and who has an absolute advantage in the production of good B?

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Comparative Advantage & Specialization

- (b) Refer to the scenario above. How many units of good A could Lara produce on her own if she chooses to consume 8 units of good B?
- (c) Determine who has a comparative advantage in the production of good A and good B?

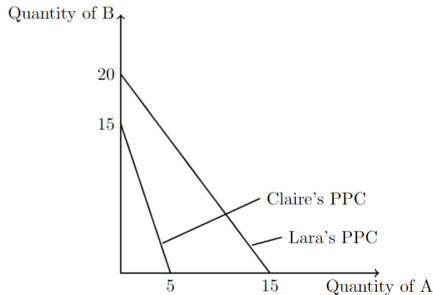
Specialization and Terms of Trade

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In the example, Terms of Trade?

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Example – Problem Set



	Good A	Good B
Lara	15	20
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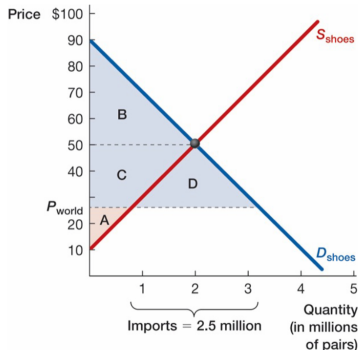
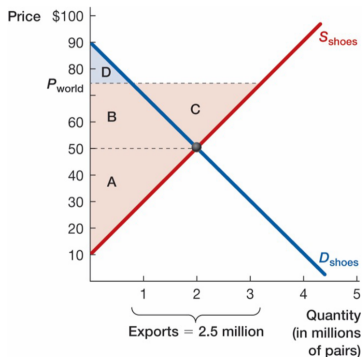
- (a) Refer to the scenario above. Who has an absolute advantage in the production of good A and who has an absolute advantage in the production of good B?
- (d) The terms of trade will lie between _____ and _____.
- (e) If Lara wants consumes 8 units of good B and agrees with Claire to an exchange rate of 1 unit of good B for half (0.5) of a unit of good A, what are her gains from trade?

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Import and Export

Now, let's focus on just one product – Shoes!

- Assume **free trade** (No government intervention)
- World price: market equilibrium price on the world market)



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Import and Export

- The location of P_{world} for Exporting/Importing country?
- Consumer Surplus
 - Before trade
 - After trade
 - Gain after trade?
- Producer Surplus
 - Before trade
 - After trade
 - Gain after trade?